

## Coca-Cola

### 2Q25 Preview: Remain Positive on Strong/Resilient Growth Outlook + Earnings Upside with USD Easing

The Coca-Cola Company (KO, Overweight rated) is scheduled to report 2Q25 earnings results Tuesday, July 22, before the market open. We lowered our 2Q25 estimates slightly on OSG/EPS (now +5.1%/\$0.84 from +5.9%/\$0.85 previously; ahead of consensus +4.6%/\$0.83) but for 2025 our EPS moves up \$0.02 to \$2.99 (+3.7% YOY) vs. consensus \$2.97 (+3.0% YOY) as very slightly lowered OSG (now +5.7% from +5.8% before; consensus +5.7%) is more than offset by expectations for more moderate FX headwind given USD softening. Net-net, we remain constructive on KO shares relative to peers given (1) top-line growth should continue to outpace its peers; (2) diversified source of volumes globally with >80% of volumes from international markets, (3) significant room to grow commercial beverages internationally, and (4) FX headwinds abating is a source of potential earnings upside. On the headlines about ingredients, while this brings back the MAHA conversation, we don't see much of an impact, as consumers would make that choice, and the company/botlers will likely price these SKUs higher to reflect the premiumization. From the response KO issued publicly, it seems the company is planning to launch a pure cane sugar Coke classic (similar to the "Mexican Coke" offering) rather than reformulating all Coke classic offerings in the U.S. Therefore, if this launch materializes, it may end up being a positive for the whole KO system. If the company were to remove all HFCS (high fructose corn syrup) from the formulation in the U.S., we would expect some pressure on costs, but we would expect the system to price these new SKUs at a premium to offset the additional cost. While KO remains a core holding and crowded long stock, we believe it can continue to work for aforementioned reasons. Our Dec-25 target price moves to \$77 (from \$79) based on 23.8x P/E (in line with current CY25 multiple) off our slightly higher 2026 estimates.

## Overweight

KO, KO US

Price (17 Jul 25):\$70.59

▼ **Price Target (Dec-25):\$77.00**

Prior (Dec-25):\$79.00

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### Key Changes (FYE Dec)

|                       | Prev   | Cur    |
|-----------------------|--------|--------|
| Revenue - 25E (\$ mn) | 48,253 | 48,527 |
| Revenue - 26E (\$ mn) | 50,772 | 51,204 |
| Adj. EPS - 25E (\$)   | 2.97   | 2.99   |
| Adj. EPS - 26E (\$)   | 3.22   | 3.25   |

### Quarterly Forecasts (FYE Dec)

| Adj. EPS (\$) | 2024A | 2025E | 2026E |
|---------------|-------|-------|-------|
| Q1            | 0.72  | 0.73A | 0.80  |
| Q2            | 0.84  | 0.84  | 0.92  |
| Q3            | 0.77  | 0.81  | 0.87  |
| Q4            | 0.55  | 0.61  | 0.66  |
| FY            | 2.88  | 2.99  | 3.25  |

### Style Exposure

| Quant Factors | Current | Hist %Rank (1=Top) |    |    |    |
|---------------|---------|--------------------|----|----|----|
|               | %Rank   | 6M                 | 1Y | 3Y | 5Y |
| Value         | 86      | 78                 | 81 | 85 | 84 |
| Growth        | 99      | 97                 | 61 | 9  | 21 |
| Momentum      | 37      | 51                 | 37 | 29 | 81 |
| Quality       | 35      | 23                 | 23 | 13 | 9  |
| Low Vol       | 1       | 1                  | 1  | 2  | 14 |
| ESGQ          | 38      | 80                 | 32 | 29 | 9  |

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

### See page 9 for analyst certification and important disclosures.

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## Price Performance



|     | YTD   | 1m    | 3m     | 12m   |
|-----|-------|-------|--------|-------|
| Abs | 13.4% | 1.4%  | -3.3%  | 8.2%  |
| Rel | 6.3%  | -3.9% | -22.5% | -4.4% |

## Company Data

|                             |             |
|-----------------------------|-------------|
| Shares O/S (mn)             | 4,321       |
| 52-week range (\$)          | 74.38-60.62 |
| Market cap (\$ mn)          | 305,019.40  |
| Exchange rate               | 1.00        |
| Free float (%)              | 81.7%       |
| 3M ADV (mn)                 | 15.90       |
| 3M ADV (\$ mn)              | 1,128.2     |
| Volatility (90 Day)         | 19          |
| Index                       | S&P 500     |
| BBG ANR (Buy   Hold   Sell) | 28 3 0      |

## Key Metrics (FYE Dec)

| \$ in millions                 | FY24A  | FY25E  | FY26E  |
|--------------------------------|--------|--------|--------|
| <b>Financial Estimates</b>     |        |        |        |
| Revenue                        | 46,897 | 48,527 | 51,204 |
| Adj. EBITDA                    | 15,160 | 16,431 | 17,698 |
| Adj. EBIT                      | 14,085 | 15,244 | 16,372 |
| Adj. net income                | 12,463 | 12,888 | 13,975 |
| Adj. EPS                       | 2.88   | 2.99   | 3.25   |
| BBG EPS                        | 2.85   | 2.97   | 3.20   |
| Cashflow from operations       | 6,805  | 5,796  | 14,786 |
| FCFF                           | 4,741  | 3,578  | 12,452 |
| <b>Margins and Growth</b>      |        |        |        |
| Revenue Growth Y/Y (%)         | 2.4%   | 3.5%   | 5.5%   |
| Total Organic Sales Growth (%) | -      | -      | -      |
| Gross margin                   | 61.1%  | 61.3%  | 61.5%  |
| EBITDA margin                  | 32.3%  | 33.9%  | 34.6%  |
| EBITDA Growth Y/Y (%)          | 4.8%   | 8.4%   | 7.7%   |
| EBIT margin                    | 30.0%  | 31.4%  | 32.0%  |
| Net margin                     | 26.6%  | 26.6%  | 27.3%  |
| Adj. EPS growth                | 7.2%   | 3.7%   | 8.7%   |
| <b>Ratios</b>                  |        |        |        |
| Net debt/EBITDA                | 2.1    | 2.3    | 2.1    |
| ROIC                           | -      | -      | -      |
| ROE                            | 49.1%  | 51.7%  | 52.7%  |
| <b>Valuation</b>               |        |        |        |
| FCFF yield                     | 1.6%   | 1.2%   | 4.1%   |
| Dividend yield                 | 2.7%   | 2.9%   | 3.1%   |
| EV/Revenue                     | 6.8    | 6.7    | 6.3    |
| EV/EBITDA                      | 21.1   | 19.8   | 18.3   |
| Adj. P/E                       | 24.5   | 23.6   | 21.7   |

## Summary Investment Thesis and Valuation

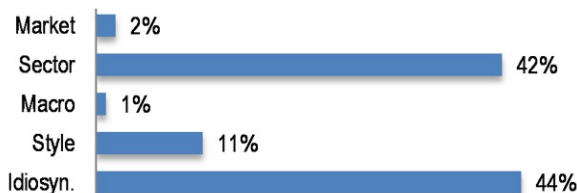
### Investment Thesis

We have an Overweight rating on KO shares. We think Coca-Cola is well positioned for sustainable organic growth toward the top end of its long-term 4-6% range. KO has undergone a deep positive transformation over the past few years by improving its sales portfolio, refranchising, and consolidating bottling assets globally, setting up new systems and procurement in the U.S., shifting focus from volume to value growth, and transitioning senior management. While the multi-billion-dollar dispute with the IRS and FX are overhangs, we think these are already reflected in the share price.

### Valuation

Our Dec 2025 price target is \$77, based on 23.8x P/E (in-line with current CY25 multiple) on our 2026 estimates, as top-line momentum, better ability to pass through cost inflation, and defensive nature in an uncertain macro backdrop should sustain KO's relative valuation premium and more than offset concerns around GLP-1 and potential tax liability. Our \$77 price target implies ~9% upside potential in the next approximately 6 months plus a ~3% dividend yield. We think the aforementioned overhangs are contemplated in the current valuation, creating favorable risk/reward.

## Performance Drivers



| Factors                        | 6M Corr | 1Y Corr |
|--------------------------------|---------|---------|
| <b>Market:</b> MSCI US         | 0.17    | 0.13    |
| <b>Sect:</b> Cons Staples      | 0.69    | 0.66    |
| <b>Ind:</b> Food Bev & Tobacco | 0.78    | 0.76    |
| <b>Macro:</b>                  |         |         |
| US Dollar                      | -0.16   | -0.19   |
| US 10yr yield                  | -0.06   | -0.17   |
| Economic Surprise              | -0.10   | -0.11   |
| <b>Quant Styles:</b>           |         |         |
| DivYld                         | 0.53    | 0.46    |
| LowVol                         | 0.36    | 0.37    |
| Momentum                       | -0.39   | -0.37   |

Source: J.P. Morgan Quantitative and Derivatives Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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- 2Q25 Expectations.** We are lowering our 2Q25 EPS estimate a penny to \$0.84, which is a penny above the current Bloomberg consensus driven by lowered 2Q25 OSG estimate (concentrate shipment basis) to +5.1% (from +5.9%), which compares to Consensus Metrix +4.6%. We lowered our OSG estimate to reflect likely tougher consumption environment in LatAm (Mexico tough comparisons and macro challenges) and also better reflecting potential for reversing stocking benefit in 1Q in certain regions. That said, we may be conservative in EMEA given easier comp, Easter timing, and favorable weather. We also slightly tweaked our FX estimates for 2Q25 (now -2.4% from -2.9% before). Our 2Q25 top-line estimates are slightly ahead of CM on concentrate shipments (JPMe -0.1% vs. CM -0.9%) but slightly below CM on price/mix (JPMe +5.2% vs. CM +5.5%). We model for unit case volumes +0.4%, which is slightly ahead of CM +0.1%. We are 27 bps ahead of Street on margins (EBIT margin JPM 33.6% vs. consensus 33.3%) with our gross margins 17 bps ahead (JPMe 61.5% vs. consensus 61.4%) and our operating expenses 11 bps lighter (JPMe 28.0% vs. consensus 28.1%). We believe consensus may be modeling for more of a delta between shipments and unit cases. For 2025, we lowered our OSG estimate by -10 bps to +5.7% (from +5.8%) vs. CM +5.7%, although our EPS moves up \$0.02 as we lowered estimated FX headwind to -1.6% from -2.3% before (CM -2.2%).

**Table 1: KO 2Q25E and 2025E Estimates - JPM vs. Consensus**

\$ m, except per share values

|                         | 2Q25E         |               | Y/Y   | JPMe     | 2025E         |               | Y/Y   | JPMe     |
|-------------------------|---------------|---------------|-------|----------|---------------|---------------|-------|----------|
| Income Statement        | JPMe          | Consensus     | %     | vs. cons | JPMe          | Consensus     | %     | vs. cons |
| Net Sales               | 12,660.1      | 12,550.8      | 2.8%  | 0.9%     | 48,526.5      | 48,211.1      | 3.5%  | 0.7%     |
| Gross Profit            | 7,789.9       | 7,701.5       | 3.0%  | 1.1%     | 29,756.9      | 29,539.9      | 3.9%  | 0.7%     |
| Operating Income        | 4,249.1       | 4,177.8       | 5.3%  | 1.7%     | 15,244.5      | 15,030.3      | 8.2%  | 1.4%     |
| Interest, Net           | 252.7         | 57.6          | 69.6% | 338.8%   | 984.2         | 163.8         | 42.0% | 500.9%   |
| Net Income              | 3,639.5       | 3,588.9       | 0.7%  | 1.4%     | 12,887.7      | 12,770.3      | 3.4%  | 0.9%     |
| Shares Outstanding      | 4,311.0       | 11.3          | -0.2% | 37983.0% | 4,310.0       | 8.1           | -0.2% | 53175.6% |
| EPS                     | <b>\$0.84</b> | <b>\$0.83</b> | 0.8%  | 1.3%     | <b>\$2.99</b> | <b>\$2.97</b> | 3.7%  | 0.7%     |
|                         | 2Q25E         |               | bps   | JPMe     | 2025E         |               | Y/Y   | JPMe     |
| Growth/Margins          | JPMe          | Consensus     | bps   | vs. cons | JPMe          | Consensus     | bps   | vs. cons |
| Sales Growth            | 2.8%          | 1.9%          | (8)   | 89       | 3.5%          | 2.8%          | 104   | 67       |
| Gross Margin            | 61.5%         | 61.4%         | 10    | 17       | 61.3%         | 61.3%         | 24    | 5        |
| SG&A Margin             | 28.0%         | 28.1%         | (68)  | (11)     | 29.9%         | 30.1%         | (114) | (19)     |
| Operating Profit Margin | 33.6%         | 33.3%         | 78    | 27       | 31.4%         | 31.2%         | 138   | 24       |
| Tax Rate                | 20.8%         | 0.2%          | 180   | 2,056    | 20.8%         | 0.0%          | 220   | 2,077    |

Source: Bloomberg Finance L.P., Consensus Metrix and J.P. Morgan estimates.

Table 2: KO 2Q25E Top-Line Drivers - JPMe vs. Consensus

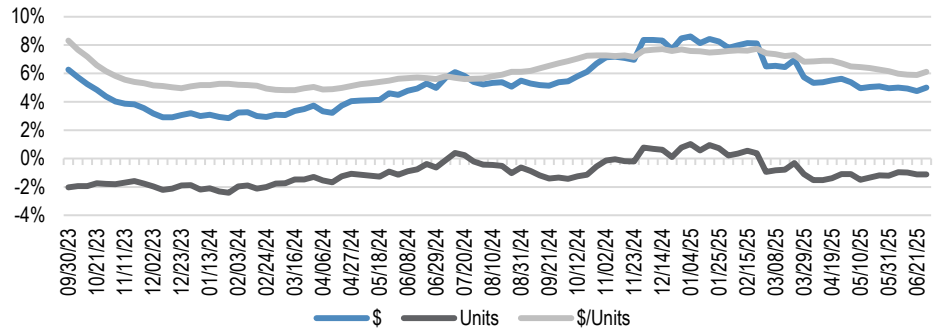
| 2Q25E                    |              |              |                | 2025E                    |              |              |                |
|--------------------------|--------------|--------------|----------------|--------------------------|--------------|--------------|----------------|
| Revenue Build            | JPMe         | Consensus    | vs. cons (bps) | Revenue Build            | JPMe         | Consensus    | vs. cons (bps) |
| <b>Organic Revenue</b>   | <b>5.1%</b>  | <b>4.6%</b>  | <b>51</b>      | <b>Organic Revenue</b>   | <b>5.7%</b>  | <b>5.7%</b>  | <b>(4)</b>     |
| EMEA                     | 5.0%         | 4.3%         | 70             | EMEA                     | 4.7%         | 5.9%         | (123)          |
| Latin America            | 11.5%        | 9.2%         | 230            | Latin America            | 9.8%         | 10.3%        | (51)           |
| North America            | 3.0%         | 3.8%         | (80)           | North America            | 3.3%         | 4.2%         | (88)           |
| Asia-Pacific             | 2.0%         | 3.1%         | (110)          | Asia-Pacific             | 3.6%         | 5.0%         | (135)          |
| BIG                      | 7.0%         | 5.1%         | 190            | BIG                      | 5.8%         | 4.6%         | 119            |
| <b>Unit Case Volume</b>  | <b>0.4%</b>  | <b>0.1%</b>  | <b>26</b>      | <b>Unit Case Volume</b>  | <b>1.3%</b>  | <b>1.1%</b>  | <b>17</b>      |
| EMEA                     | 2.0%         | 0.8%         | 120            | EMEA                     | 1.6%         | 1.6%         | (2)            |
| Latin America            | -1.5%        | -0.9%        | (60)           | Latin America            | 0.6%         | 0.6%         | 5              |
| North America            | -1.5%        | -0.6%        | (90)           | North America            | -1.9%        | -0.8%        | (114)          |
| Asia-Pacific             | 2.0%         | 1.6%         | 40             | Asia-Pacific             | 3.5%         | 3.0%         | 53             |
| BIG                      | 4.0%         | -0.9%        | 490            | BIG                      | -2.1%        | -4.9%        | 277            |
| <b>Concentrate Sales</b> | <b>-0.1%</b> | <b>-0.9%</b> | <b>85</b>      | <b>Concentrate Sales</b> | <b>1.2%</b>  | <b>0.9%</b>  | <b>29</b>      |
| EMEA                     | 1.0%         | -1.0%        | 200            | EMEA                     | 1.4%         | 1.1%         | 25             |
| Latin America            | -1.5%        | -1.6%        | 10             | Latin America            | 0.2%         | 0.3%         | (11)           |
| North America            | -2.0%        | -1.3%        | (70)           | North America            | -2.0%        | -0.9%        | (114)          |
| Asia-Pacific             | 1.0%         | 0.2%         | 80             | Asia-Pacific             | 3.7%         | 3.6%         | 13             |
| BIG                      | 4.0%         | 2.3%         | 170            | BIG                      | 2.8%         | 1.9%         | 89             |
| <b>Price/Mix</b>         | <b>5.2%</b>  | <b>5.5%</b>  | <b>(34)</b>    | <b>Price/Mix</b>         | <b>4.5%</b>  | <b>4.8%</b>  | <b>(33)</b>    |
| EMEA                     | 4.0%         | 4.9%         | (90)           | EMEA                     | 3.3%         | 4.8%         | (148)          |
| Latin America            | 13.0%        | 10.6%        | 240            | Latin America            | 9.6%         | 9.9%         | (31)           |
| North America            | 5.0%         | 5.1%         | (10)           | North America            | 5.4%         | 5.3%         | 6              |
| Asia-Pacific             | 1.0%         | 2.6%         | (160)          | Asia-Pacific             | -0.1%        | 1.4%         | (148)          |
| BIG                      | 3.0%         | 2.8%         | 20             | BIG                      | 3.0%         | 2.8%         | 20             |
| <b>FX</b>                | <b>-2.4%</b> | <b>-2.5%</b> | <b>6</b>       | <b>FX</b>                | <b>-1.6%</b> | <b>-2.2%</b> | <b>61</b>      |
| <b>M&amp;A/Other</b>     | <b>0.0%</b>  | <b>0.0%</b>  | <b>0</b>       | <b>M&amp;A/Other</b>     | <b>-0.7%</b> | <b>-0.7%</b> | <b>(2)</b>     |

Source: Consensus Metrix and J.P. Morgan estimates. Note: JPMe organic = unit case volume + price/mix; Consensus organic = concentrate sales + price/mix

- U.S. Tracked Channel Trends Slow Modestly Sequentially to +5% Although Driven Entirely by More Moderate Price/Mix - CSDs Improved While Most Other Categories Slowed; Fairlife Growth Moderates as Expected, but Still Very Strong.** In the U.S. NielsenIQ tracked channels (FVM+C), total KO dollar/unit takeaway in L13W 6/28/25 (covers most of KO's 2Q25) was +5.0%/-1.1%, which was -70 bps/flat sequentially from +5.7%/-1.1% L13W 3/29/25. Price/mix per unit of +6.2% L13W 6/28/25 decelerated -70 bps from +6.9% L13W 3/29/25. On a 2Y stack basis, KO dollar/unit takeaway L13W 6/28/25 +10.0%/-1.7% improved +50 bps/+70 bps from +9.5%/-2.4% L13W 3/29/25. Save for CSDs and waters, KO's other categories decelerated sequentially. In CSDs, KO dollar/volume L13W 6/28/25 +3.7%/-0.9% improved +90 bps/+130 bps from +2.8%/-2.2% L12W 3/29/25 and in L13W 6/28/25 KO underperformed the category slightly (category ex-KO L13W 6/28/25 dollar/volume +4.2%/+0.4%). KO CSD performance gap vs. category narrowed substantially in L13W 6/28/25 with about -50 bps underperformance vs. -440 bps underperformance in L13W 3/29/25 as impacts to brand Coke from social media boycotts began to abate (in more recent L4W 6/28/25 KO now outperforming category +3.9% vs. category ex-KO +2.3%). Fairlife (milk, shakes) decelerated, as expected, but still posted impressive growth with L13W 6/28/25 dollars/units +39.5%/+26.0% from +49.9%/+35.5% L13W 3/29/25. Within fairlife's growth, milk grew +29.1% L13W 6/28/25 (vs. +35.9% L13W 3/29/25) and shakes grew +47.8% L13W 6/28/25 (vs. +63.7% L13W 3/29/25).

Figure 1: KO Takeaway +5% L13W 6/28/25 Decelerated -70 bps Sequentially

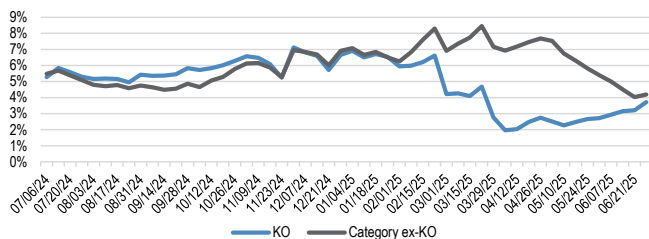
Rolling 13-Week \$ YoY



Source: NielsenIQ.

Figure 2: KO CSDs +3.7% L13W 6/28/25 Improved +90 bps Sequentially

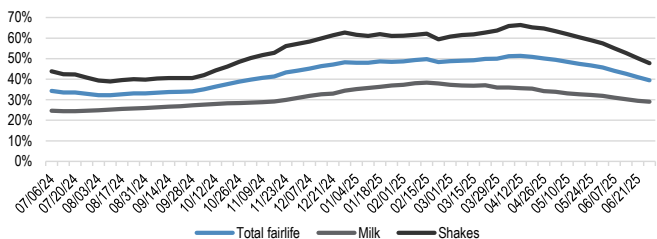
Rolling 13-Week \$ YoY



Source: NielsenIQ.

Figure 3: KO's fairlife +39.5% L13W 6/28/25 Decelerated Sequentially, as Expected

Rolling 13-Week \$ YoY

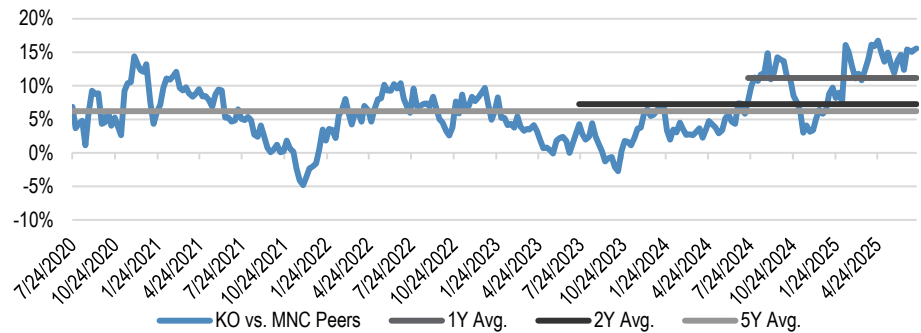


Source: NielsenIQ.

- KO Continues to Sustain Premium vs. Peers Given Attractive/Resilient Growth Outlook + Moderating FX; Underperformed S&P as Macro Fears Subsid + Markets Moved Higher.** Staples performance has been highly dependent on the macro and tariff situation and with easing fears given tariff moderation and resilient macro data, flows have been shifting toward riskier assets over the past couple months. That said, within the Staples universe, KO continues to be an outperforming given its stronger/resilient growth outlook and attractive geographic diversification (benefit with USD weakening). As such, KO has sustained mid-teens premium vs. MNC peers on NTM P/E over the past couple months and shares have performed largely in-line with MNC peers since last earnings (since April 29 KO -2.4% vs. MNCs -2.7%). Relative valuation vs. S&P has compressed to ~+2% from mid-20s% premium in early/mid April as macro fears have subsided post-tariff pause and resilient macro data. As such, KO (and broader staples) have underperformed S&P (since April 29 KO -2.4% vs. S&P +13.2% and S5CONS Index -0.4%). That said, YTD KO continues to outperform with shares +13.4% vs. S&P +7.1% and S5CONS +4.6%. We believe KO could sustain/expand relative valuation vs. MNC peers ahead with its asset-lite business model typically performing well in environments with modest inflation and softening USD.

**Figure 4: KO at +15.5% Premium vs. MNC Peers, Largely Stable Over Past Couple Months**

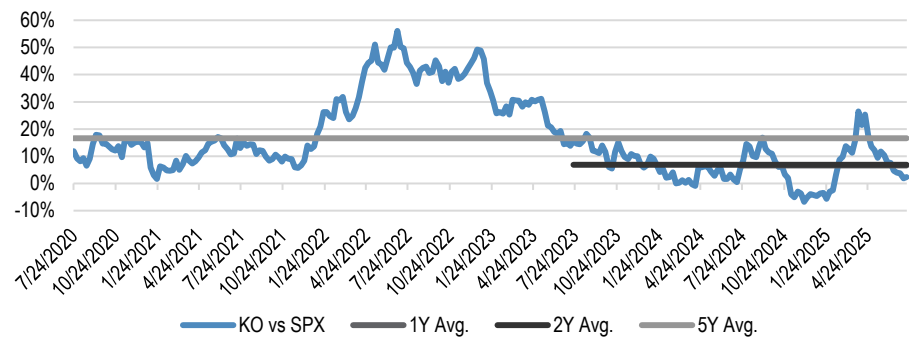
KO NTM P/E Relative Premium/Discount vs. Large Cap Multinational Peers (PEP, CL, PG, KVUE, KMB, HSY, MDLZ, K, ULVR, NESN)



Source: Bloomberg Finance L.P.

**Figure 5: KO at +2% Premium to SPX, -2,410 bps Off April 2024 Peak; Below Recent Historical Averages**

KO NTM P/E Relative Premium/Discount vs. SPX



Source: Bloomberg Finance L.P.

- **Conference Call Details.** Date: Tuesday, July 22; estimated release time: 6:55AM ET; conference call details: time: 8:30AM ET, dial-in: 1-888-415-4465, passcode: 6819315



## Investment Thesis, Valuation and Risks

### Coca-Cola (Overweight; Price Target: \$77.00)

#### Investment Thesis

We have an Overweight rating on KO shares. We think Coca-Cola is well positioned for sustainable organic growth toward the top end of its long-term 4-6% range. KO has undergone a deep positive transformation over the past few years by improving its sales portfolio, refranchising and consolidating bottling assets globally, setting up new systems and procurement in the U.S., shifting focus from volume to value growth, and transitioning senior management, all of which give us confidence in the underlying fundamentals of the business. While the multi-billion-dollar dispute with the IRS and FX are overhangs, we think these are already reflected in the share price.

#### Valuation

Our Dec 2025 price target is \$77, based on 23.8x P/E (in-line with current CY25 multiple) on our 2026 estimates, as top-line momentum, better ability to pass through cost inflation, and defensive nature in an uncertain macro backdrop should sustain KO's relative valuation premium and more than offset concerns around GLP-1 and potential tax liability. Our \$77 price target implies ~9% upside potential in the next approximately 6 months plus a ~3% dividend yield. We think the aforementioned overhangs are contemplated in the current valuation, creating favorable risk/reward.

#### Risks to Rating and Price Target

Downside risks to our Overweight rating and price target include (1) economic weakness leading to material pressure in the away-from-home channel; (2) uncertainty around potential impact of GLP-1 drugs on demand longer term; (3) margin de-leverage because of inflationary headwinds and/or volume losses; and (4) increasingly unfavorable FX movements – all of which could drive further negative earnings revisions.

## Coca-Cola: Summary of Financials

| Income Statement - Annual           |          |          |          |          |       | Income Statement - Quarterly |          |         |         |         |       |
|-------------------------------------|----------|----------|----------|----------|-------|------------------------------|----------|---------|---------|---------|-------|
|                                     | FY23A    | FY24A    | FY25E    | FY26E    | FY27E |                              | 1Q25A    | 2Q25E   | 3Q25E   | 4Q25E   |       |
| Revenue                             | 45,784   | 46,897   | 48,527   | 51,204   | -     | Revenue                      | 11,216A  | 12,660  | 12,551  | 12,100  | -     |
| COGS                                | (18,465) | (18,254) | (18,770) | (19,710) | -     | COGS                         | (4,195)A | (4,870) | (4,851) | (4,854) | -     |
| Gross profit                        | 27,319   | 28,643   | 29,757   | 31,493   | -     | Gross profit                 | 7,021A   | 7,790   | 7,700   | 7,246   | -     |
| SG&A                                | (13,983) | (14,558) | (14,512) | (15,121) | -     | SG&A                         | (3,234)A | (3,541) | (3,648) | (4,090) | -     |
| Adj. EBITDA                         | 14,464   | 15,160   | 16,431   | 17,698   | -     | Adj. EBITDA                  | 4,054A   | 4,556   | 4,357   | 3,465   | -     |
| D&A                                 | (1,128)  | (1,075)  | (1,186)  | (1,326)  | -     | D&A                          | (267)A   | (307)   | (304)   | (309)   | -     |
| Adj. EBIT                           | 13,336   | 14,085   | 15,244   | 16,372   | -     | Adj. EBIT                    | 3,787A   | 4,249   | 4,052   | 3,156   | -     |
| Net Interest                        | (645)    | (693)    | (984)    | (913)    | -     | Net Interest                 | (213)A   | (253)   | (262)   | (256)   | -     |
| Adj. PBT                            | 14,403   | 15,333   | 16,273   | 17,621   | -     | Adj. PBT                     | 3,961A   | 4,577   | 4,407   | 3,329   | -     |
| Tax                                 | (2,737)  | (2,852)  | (3,385)  | (3,666)  | -     | Tax                          | (824)A   | (952)   | (917)   | (692)   | -     |
| Minority Interest                   | 11       | (18)     | 0        | 20       | -     | Minority Interest            | (5)A     | 15      | 3       | (13)    | -     |
| Adj. Net Income                     | 11,677   | 12,463   | 12,888   | 13,975   | -     | Adj. Net Income              | 3,132A   | 3,640   | 3,493   | 2,623   | -     |
| Reported EPS                        | 2.69     | 2.88     | 2.99     | 3.25     | -     | Reported EPS                 | 0.73A    | 0.84    | 0.81    | 0.61    | -     |
| Adj. EPS                            | 2.69     | 2.88     | 2.99     | 3.25     | -     | Adj. EPS                     | 0.73A    | 0.84    | 0.81    | 0.61    | -     |
| DPS                                 | 1.83     | 1.93     | 2.04     | 2.16     | -     | DPS                          | 0.02A    | 0.51    | 0.51    | 1.00    | -     |
| Payout ratio                        | 68.1%    | 67.1%    | 68.2%    | 66.6%    | -     | Payout ratio                 | 2.8%A    | 60.4%   | 62.9%   | 164.1%  | -     |
| Shares outstanding                  | 4,339    | 4,320    | 4,310    | 4,300    | -     | Shares outstanding           | 4,313A   | 4,311   | 4,309   | 4,307   | -     |
| Balance Sheet & Cash Flow Statement |          |          |          |          |       | Ratio Analysis               |          |         |         |         |       |
|                                     | FY23A    | FY24A    | FY25E    | FY26E    | FY27E |                              | FY23A    | FY24A   | FY25E   | FY26E   | FY27E |
| Cash and cash equivalents           | 9,366    | 10,828   | 7,758    | 6,233    | -     | Gross margin                 | 59.7%    | 61.1%   | 61.3%   | 61.5%   | -     |
| Accounts receivable                 | 3,410    | 3,569    | 4,185    | 4,517    | -     | EBITDA margin                | 31.6%    | 32.3%   | 33.9%   | 34.6%   | -     |
| Inventories                         | 4,424    | 4,728    | 4,961    | 5,220    | -     | EBIT margin                  | 29.1%    | 30.0%   | 31.4%   | 32.0%   | -     |
| Other current assets                | 9,532    | 6,872    | 8,706    | 8,899    | -     | Net profit margin            | 25.5%    | 26.6%   | 26.6%   | 27.3%   | -     |
| Current assets                      | 26,732   | 25,997   | 25,610   | 24,870   | -     | ROE                          | 46.7%    | 49.1%   | 51.7%   | 52.7%   | -     |
| PP&E                                | 9,236    | 10,303   | 11,421   | 12,428   | -     | ROA                          | 12.3%    | 12.6%   | 12.7%   | 13.7%   | -     |
| LT investments                      | 118      | 0        | 0        | 0        | -     | ROCE                         | 16.8%    | 17.0%   | 16.9%   | 17.5%   | -     |
| Other non current assets            | 61,617   | 64,249   | 65,107   | 65,107   | -     | SG&A/Sales                   | 30.5%    | 31.0%   | 29.9%   | 29.5%   | -     |
| Total assets                        | 97,703   | 100,549  | 102,137  | 102,405  | -     | Net debt/equity              | 1.1      | 1.2     | 1.4     | 1.2     | -     |
| Short term borrowings               | 4,557    | 1,499    | 5,418    | 5,418    | -     | P/E (x)                      | 26.2     | 24.5    | 23.6    | 21.7    | -     |
| Payables                            | 15,485   | 21,715   | 18,369   | 19,125   | -     | P/BV (x)                     | 11.8     | 12.3    | 12.2    | 10.8    | -     |
| Other short term liabilities        | 3,529    | 2,035    | 1,635    | 1,148    | -     | EV/EBITDA (x)                | 21.9     | 21.1    | 19.8    | 18.3    | -     |
| Current liabilities                 | 23,571   | 25,249   | 25,422   | 25,691   | -     | Dividend Yield               | 2.6%     | 2.7%    | 2.9%    | 3.1%    | -     |
| Long-term debt                      | 35,547   | 42,375   | 43,530   | 40,530   | -     | Sales/Assets (x)             | 0.5      | 0.5     | 0.5     | 0.5     | -     |
| Other long term liabilities         | 11,105   | 6,553    | 6,624    | 6,624    | -     | Interest cover (x)           | 22.4     | 21.9    | 16.7    | 19.4    | -     |
| Total liabilities                   | 70,223   | 74,177   | 75,576   | 72,845   | -     | Operating leverage           | 126.2%   | 231.0%  | 236.9%  | 134.1%  | -     |
| Shareholders' equity                | 25,941   | 24,856   | 25,010   | 28,008   | -     | Revenue y/y Growth           | 6.4%     | 2.4%    | 3.5%    | 5.5%    | -     |
| Minority interests                  | 1,539    | 1,516    | 1,552    | 1,552    | -     | EBITDA y/y Growth            | 6.3%     | 4.8%    | 8.4%    | 7.7%    | -     |
| Total liabilities & equity          | 97,703   | 100,549  | 102,137  | 102,405  | -     | Tax rate                     | 19.0%    | 18.6%   | 20.8%   | 20.8%   | -     |
| BVPS                                | 5.98     | 5.75     | 5.80     | 6.51     | -     | Adj. Net Income y/y Growth   | 8.1%     | 6.7%    | 3.4%    | 8.4%    | -     |
| y/y Growth                          | 7.9%     | (3.8%)   | 0.9%     | 12.3%    | -     | EPS y/y Growth               | 8.4%     | 7.2%    | 3.7%    | 8.7%    | -     |
| Net debt/(cash)                     | 29,701   | 31,674   | 37,774   | 36,299   | -     | DPS y/y Growth               | 4.7%     | 5.6%    | 5.4%    | 6.1%    | -     |
| Cash flow from operating activities | 11,599   | 6,805    | 5,796    | 14,786   | -     |                              |          |         |         |         |       |
| o/w Depreciation & amortization     | 1,128    | 1,075    | 1,186    | 1,326    | -     |                              |          |         |         |         |       |
| o/w Changes in working capital      | (846)    | (6,234)  | (6,741)  | (29)     | -     |                              |          |         |         |         |       |
| Cash flow from investing activities | (3,349)  | 2,524    | (2,976)  | (2,334)  | -     |                              |          |         |         |         |       |
| o/w Capital expenditure             | (1,852)  | (2,064)  | (2,218)  | (2,334)  | -     |                              |          |         |         |         |       |
| as % of sales                       | 4.0%     | 4.4%     | 4.6%     | 4.6%     | -     |                              |          |         |         |         |       |
| Cash flow from financing activities | (8,310)  | (6,910)  | (6,316)  | (13,977) | -     |                              |          |         |         |         |       |
| o/w Dividends paid                  | (7,952)  | (8,359)  | (8,794)  | (9,305)  | -     |                              |          |         |         |         |       |
| o/w Net debt issued/(repaid)        | 1,857    | 2,528    | 3,837    | (3,000)  | -     |                              |          |         |         |         |       |
| Net change in cash                  | (133)    | 1,796    | (3,333)  | (1,525)  | -     |                              |          |         |         |         |       |
| Adj. Free cash flow to firm         | 9,747    | 4,741    | 3,578    | 12,452   | -     |                              |          |         |         |         |       |
| y/y Growth                          | 2.2%     | (51.4%)  | (24.5%)  | 248.0%   | -     |                              |          |         |         |         |       |

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which



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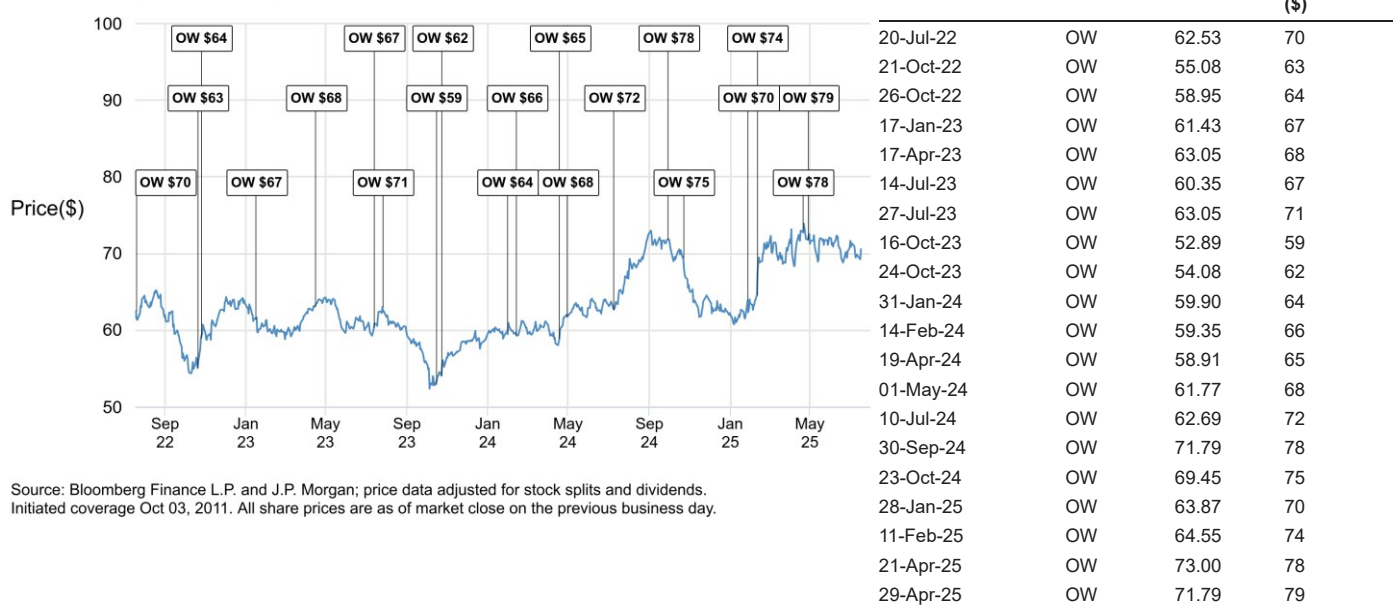
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Coca-Cola (KO, KO US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Oct 03, 2011. All share prices are as of market close on the previous business day.

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